

Sebastian Ernst

Department of Economics
London School of Economics and Political Science
Houghton Street, London WC2A 2AE

EMAIL s.y.ernst@lse.ac.uk
WEB seb-ernst.github.io

EDUCATION	London School of Economics and Political Science MRes/PhD in Economics 2021–present MSc in Econometrics and Mathematical Economics, <i>Distinction</i> 2019–2020 Technische Universität Berlin BSc in Industrial Engineering and Management 2016–2019
RESEARCH FIELDS	Public Economics (primary) Industrial Organization, Labor Economics (secondary)
JOB MARKET PAPER	The Perils of Playing with Prices: Subsidy Design and Equilibrium Outcomes in Child Care
WORKING PAPERS	At-Risk or Responsive? Targeting in Unemployment Policy with Andreas I. Mueller, Johannes Spinnewijn and Joost Bollens <i>Abstract:</i> This paper evaluates the use of algorithmic risk profiling to direct job search support toward individuals most at risk of long-term unemployment. Using three regression discontinuity designs and rich administrative data from the Flemish Public Employment Service (VDAB) in Belgium, we address two key dimensions: who and when to target. First, job search counseling raises employment on average, but treatment effects decline sharply with predicted risk. This reveals a fundamental trade-off between targeting those most at risk and those most responsive to intervention. Second, we find no evidence of depreciation in treatment effects at the individual level, but strong dynamic selection: as spells lengthen, surviving job seekers have both higher baseline risk and lower treatment responsiveness, generating a trade-off between the timing of treatment and the composition of the remaining pool. We develop and calibrate a conceptual framework for optimal targeting whose key sufficient statistic is the ratio of predicted treatment effects to predicted job-finding probabilities. Targeting rules combining both objects substantially outperform the status quo, yielding welfare gains nearly three times larger than random assignment, while targeting on risk scores alone performs worse than random targeting.
WORKS IN PROGRESS	Targeted Subsidy Design under Capacity Constraints: Evidence from Housing and Child Care Hiring Subsidies for Older Job Seekers: Evidence from Belgium with Joost Bollens
PUBLICATIONS	Risk Scores for Long-Term Unemployment and the Assignment to Job Search Counseling (with Andreas I. Mueller and Johannes Spinnewijn), <i>AEA Papers and Proceedings</i> , 2024.
TEACHING	London School of Economics and Political Science , Graduate Teaching Assistant EC325 Public Economics 2024–26 EC400 Probability & Statistics 2023, 2024, 2025 EC2C1 Econometrics II 2023–24 EC1C1 Econometrics I 2023 EC2C3 Econometrics I 2022 Technische Universität Berlin , Undergraduate Teaching Assistant Introduction to Macroeconomics 2018–19

RELEVANT POSITIONS	Research Assistant, STICERD, LSE, for Johannes Spinnewijn, Camille Landais and Daniel Reck	2020–2021
SCHOLARSHIPS	LSE Economics Department Scholarship	2021–2026
PROFESSIONAL ACTIVITIES	Organizer, LSE Public Economics Seminars	2024–2025
	Organizer, LSE Economics Department Football Group	2023–2025
SKILLS	Stata, R, Python, L ^A T _E X	
CITIZENSHIP AND RESIDENCY	Australian, German and US citizen, UK settled status	
LANGUAGES	English (native), German (fluent), Spanish (basic)	